Next Generation Technology Group 319A JT

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by Supersny

			2026	2027
Price:	21,120.00	EPS	0	0
Shares Out. (in M):	9	P/E	0	0
Market Cap (in $M):	1,180	P/FCF	0	0
Net Debt (in $M):	40	EBIT	6,809	9,660
TEV (in $M):	1,220	TEV/EBIT	28	20

Description

Long Next Generation Technology Group ("NGTG"), a ~$1.1bn market-cap company listed in Japan that is a programmatic acquirer. We first met management in March 2025 and were immediately impressed. NGTG is one of the few true programmatic acquirers in the world's third-largest economy.

After years at a state-backed PE firm, Founder and CEO Eiichi Arai, who owns ~65%, traveled the world in search of his next act and came away struck by the global affinity for Japanese manufacturing.

Founded in July 2018, NGTG set out to replicate Sweden's decentralized programmatic-acquirer model focusing on Japanese manufacturing companies with Danaher and Lifco as its explicit role models. The opportunity is structural. Japan's population is aging and shrinking, the median SME owner is now 70, and more than half of the profitable small manufacturers that close each year do so simply from lack of a successor. Against a base of ~120,000 profitable manufacturing SMEs, NGTG operates in a market where healthy companies become forced sellers for non-economic reasons. NGTG targets high-margin (>15% EBIT margin) niche manufacturers and given abundant supply and few buyers, they are able acquire at ~3-5x EV/EBITDA. It now receives ~500 opportunities a year and it has completed ~20 acquisitions since inception. While they currently target 4–5 deals/year, they executed 7 deals in 2025, and they could do ~10 using its existing team. Arai's ambitions match his runway as he aspires to build NGTG into a $200bn company in his lifetime.

KIF #1: An Exceptional Owner-Operator with Skin in the Game The crux of our thesis is that NGTG is a programmatic acquirer, not merely a serial acquirer, and that Arai is a rare owner-operator. He invested at Mizuho and the Innovation Network Corporation of Japan, a state-backed PE fund. Then he spent two years directly running one of NGTG's subsidiaries, pairing an investor's mind with an operator's hands. More importantly, he is a "maniac" with everything on the line: despite a ~$500mn net worth he doesn't even own a car, and he never intends to sell a share. Insiders own ~80%, so incentives are tightly aligned and the company is built for decades, not quarters.

KIF #2: A Structural Moat: Privileged Access and Unbeatable Financing NGTG wins almost all of the deals it pursues even when it isn't the highest bidder. The reasons are cultural: Japanese founders care about employees, legacy, and independence. They distrust PE, which ultimately resells, and their strategics destroy a company's identity. NGTG promises to keep the name, people, and culture permanently. The moat is that NGTG has privileged access to assets a financially motivated buyer literally can’t buy at the same price. On top of that, Japan's low rates let it fund each deal with ~10% equity and ~90% debt at a ~1.5-2.0% fixed rate for ten years and debt is held at the subsidiary level. This is the most attractive deal terms we've seen anywhere in the world! Management reinforces the discipline. Guidance excludes M&A, they pay no dividends (all cash is reinvested), and it never intends to issue equity or sell a company.

KIF #3: An Institutionalized Flywheel Entering Phase 2 "Replication." NGTG is systematizing its edge through the NGTG Growth Program ("NGP"), explicitly modeled on Danaher's legendary Danaher Business System (“DBS”), with repeatable playbooks across sales, manufacturing, human capital, finance, and IT that continuously improve the businesses they acquire. This is part of the variant perception. While the market sees a Japanese firm buying small manufacturers, we see an emerging business system that makes each acquired company more valuable and more cash-generative. Similar to Swedish peers, NGTG underwrites no synergies. It buys the business as-is, typically at 12–16% EBITDA margins and consistently boosts margins by ~200–300bps through NGP. They are far more hands-on than a Swedish acquirers even as it cherishes decentralization, and the flywheel is already visible.

In 1H 2026 revenue grew +140% y/y while its Adj EBITDA grew by >190% y/y. Also, its EBITDA margins expanded by ~400bps to over 22%. We estimate organic growth was >25% and management noted that ~25% of its companies have some AI/semiconductor tailwinds. At ~1.5x ND/EBITDA vs its 3–4x target, the balance sheet leaves ample capacity for more M&A.

NGTG is no longer a complete secret as shares have jumped higher since its IPO and it trades at ~20x our 2027 EV/EBITDA. But we think the market is still too linear. NGTG is adding companies fast enough to make static estimates stale before they print, and we don't need today's multiple to hold if earnings continue to compound at an exceptional rate. Japan's succession problem is enormous, NGTG remains tiny relative to its opportunity, and its flywheel is only beginning to spin. Most importantly, we are partnering with a founder who never wants to sell a share and treats NGTG as his life's work. If Arai keeps allocating capital at high returns and NGP proves transferable across dozens of companies, we believe NGTG can be worth multiples of its current value over time. We like our odds!
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